

### **Subject Description Form**

|                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
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| <b>Subject Code</b>                                    | AF3626                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| <b>Subject Title</b>                                   | Intermediate Macroeconomics                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>Credit Value</b>                                    | 3                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Level</b>                                           | 3                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| <b>Normal Duration</b>                                 | 1-semester                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| <b>Pre-requisite /<br/>Co-requisite/<br/>Exclusion</b> | <b>Pre-requisite:</b> Introduction to Economics (AF1605) or<br>Introduction to Economics (AF1BN02) or<br>Engineering Economics (AF3625) or<br>Global Economic Environment (AF3627) or equivalent                                                                                                                                                                                                                                                                                                                                                       |
| <b>Role and Purposes</b>                               | This course on macroeconomics at intermediate level studies the structure and performance of national economies and the policies that governments use to affect economic performance. It provides students with modern macroeconomic frameworks to understand long-run economic growth, short-run economic fluctuations, as well as macroeconomic policies that balance growth, employment, and inflation, among others. This course also trains students to think critically about the causes and consequences of macroeconomic events.               |
| <b>Subject Learning Outcomes</b>                       | Upon completion of the subject, students will be able to: <ul style="list-style-type: none"> <li>a. Develop global outlook and understand macroeconomic concepts, facts and events.</li> <li>b. Explain the causes and consequences of long-run economic growth and short-run economic fluctuations.</li> <li>c. Apply macroeconomic models to analyze macroeconomic policies in various scenarios.</li> <li>d. Prepare for more advanced studies in macroeconomics.</li> </ul>                                                                        |
| <b>Subject Synopsis/<br/>Indicative Syllabus</b>       | <p><b>1 Introduction and review of national income accounting</b></p> <p>What macroeconomics is about; basic macroeconomic facts; The measurement of major macroeconomic indicators such as real and nominal GDP, inflation, unemployment, etc.</p> <p><b>2 Long-run economic performance</b></p> <p>Stylized facts on long-term economic growth worldwide. The Solow Growth Model; convergence and conditional convergence; The Romer Models of endogenous growth. Growth accounting. Determinants of unemployment and inflation in the long run.</p> |

|                                                                        | <p><b>3 Micro-foundation</b><br/>Micro-foundation of expenditure approach components: consumption, investment, government expenditure and debts, international trade and finance. Permanent income hypothesis; Ricardian equivalence.</p> <p><b>4 Short-run economic fluctuations (business cycles)</b><br/>Business cycles facts, procyclical and countercyclical patterns; The IS-MP model, the Phillips Curve and the AD-AS model to understand business cycle fluctuations. Example of historical events such as Great Inflation in 1970s, Volcker's disinflation, Great Recession following the global financial crisis, COVID-19 pandemic.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                |   |   |   |  |  |                                   |             |                                                                                |  |  |  |  |  |   |   |   |   |  |  |                              |            |  |  |  |  |  |  |                        |    |   |   |   |   |  |  |                       |     |   |   |   |   |  |  |                 |     |   |   |   |   |  |  |                  |     |   |   |   |   |  |  |                          |            |   |   |   |   |  |  |              |              |  |  |  |  |  |  |
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| <b>Teaching/Learning Methodology</b>                                   | <p>The 3-hour seminar consists of lecture and student activities. Lectures are used to explain the concepts in macroeconomics at intermediate level. Student activities involve in-class exercises and discussion to work on problems applying the related macroeconomic concepts to analyze real world problems.</p> <p>At the end of the semester, students in small groups will work on a project to understand a particular economy through the lens of the macroeconomic theories and concepts introduced in this course.</p> <p>Midterm test and final examination are used to gauge how much students have understood the overall subject contents and to assess students' achievement of all learning outcomes.</p>                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                |   |   |   |  |  |                                   |             |                                                                                |  |  |  |  |  |   |   |   |   |  |  |                              |            |  |  |  |  |  |  |                        |    |   |   |   |   |  |  |                       |     |   |   |   |   |  |  |                 |     |   |   |   |   |  |  |                  |     |   |   |   |   |  |  |                          |            |   |   |   |   |  |  |              |              |  |  |  |  |  |  |
| <b>Assessment Methods in Alignment with Intended Learning Outcomes</b> | <table border="1"> <thead> <tr> <th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr> <tr> <th>a</th><th>b</th><th>c</th><th>d</th><th></th><th></th></tr> </thead> <tbody> <tr> <td><b>Continuous Assessment</b></td><td><b>50%</b></td><td></td><td></td><td></td><td></td><td></td><td></td></tr> <tr> <td>1. Class Participation</td><td>5%</td><td>√</td><td>√</td><td>√</td><td>√</td><td></td><td></td></tr> <tr> <td>2. Group Presentation</td><td>10%</td><td>√</td><td>√</td><td>√</td><td>√</td><td></td><td></td></tr> <tr> <td>3. Group Report</td><td>15%</td><td>√</td><td>√</td><td>√</td><td>√</td><td></td><td></td></tr> <tr> <td>4. Mid-term Test</td><td>20%</td><td>√</td><td>√</td><td>√</td><td>√</td><td></td><td></td></tr> <tr> <td><b>Final Examination</b></td><td><b>50%</b></td><td>√</td><td>√</td><td>√</td><td>√</td><td></td><td></td></tr> <tr> <td><b>Total</b></td><td><b>100 %</b></td><td colspan="6"></td></tr> </tbody> </table> |                                                                                |   |   |   |  |  | Specific assessment methods/tasks | % weighting | Intended subject learning outcomes to be assessed (Please tick as appropriate) |  |  |  |  |  | a | b | c | d |  |  | <b>Continuous Assessment</b> | <b>50%</b> |  |  |  |  |  |  | 1. Class Participation | 5% | √ | √ | √ | √ |  |  | 2. Group Presentation | 10% | √ | √ | √ | √ |  |  | 3. Group Report | 15% | √ | √ | √ | √ |  |  | 4. Mid-term Test | 20% | √ | √ | √ | √ |  |  | <b>Final Examination</b> | <b>50%</b> | √ | √ | √ | √ |  |  | <b>Total</b> | <b>100 %</b> |  |  |  |  |  |  |
| Specific assessment methods/tasks                                      | % weighting                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Intended subject learning outcomes to be assessed (Please tick as appropriate) |   |   |   |  |  |                                   |             |                                                                                |  |  |  |  |  |   |   |   |   |  |  |                              |            |  |  |  |  |  |  |                        |    |   |   |   |   |  |  |                       |     |   |   |   |   |  |  |                 |     |   |   |   |   |  |  |                  |     |   |   |   |   |  |  |                          |            |   |   |   |   |  |  |              |              |  |  |  |  |  |  |
|                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | a                                                                              | b | c | d |  |  |                                   |             |                                                                                |  |  |  |  |  |   |   |   |   |  |  |                              |            |  |  |  |  |  |  |                        |    |   |   |   |   |  |  |                       |     |   |   |   |   |  |  |                 |     |   |   |   |   |  |  |                  |     |   |   |   |   |  |  |                          |            |   |   |   |   |  |  |              |              |  |  |  |  |  |  |
| <b>Continuous Assessment</b>                                           | <b>50%</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                                                |   |   |   |  |  |                                   |             |                                                                                |  |  |  |  |  |   |   |   |   |  |  |                              |            |  |  |  |  |  |  |                        |    |   |   |   |   |  |  |                       |     |   |   |   |   |  |  |                 |     |   |   |   |   |  |  |                  |     |   |   |   |   |  |  |                          |            |   |   |   |   |  |  |              |              |  |  |  |  |  |  |
| 1. Class Participation                                                 | 5%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | √                                                                              | √ | √ | √ |  |  |                                   |             |                                                                                |  |  |  |  |  |   |   |   |   |  |  |                              |            |  |  |  |  |  |  |                        |    |   |   |   |   |  |  |                       |     |   |   |   |   |  |  |                 |     |   |   |   |   |  |  |                  |     |   |   |   |   |  |  |                          |            |   |   |   |   |  |  |              |              |  |  |  |  |  |  |
| 2. Group Presentation                                                  | 10%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | √                                                                              | √ | √ | √ |  |  |                                   |             |                                                                                |  |  |  |  |  |   |   |   |   |  |  |                              |            |  |  |  |  |  |  |                        |    |   |   |   |   |  |  |                       |     |   |   |   |   |  |  |                 |     |   |   |   |   |  |  |                  |     |   |   |   |   |  |  |                          |            |   |   |   |   |  |  |              |              |  |  |  |  |  |  |
| 3. Group Report                                                        | 15%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | √                                                                              | √ | √ | √ |  |  |                                   |             |                                                                                |  |  |  |  |  |   |   |   |   |  |  |                              |            |  |  |  |  |  |  |                        |    |   |   |   |   |  |  |                       |     |   |   |   |   |  |  |                 |     |   |   |   |   |  |  |                  |     |   |   |   |   |  |  |                          |            |   |   |   |   |  |  |              |              |  |  |  |  |  |  |
| 4. Mid-term Test                                                       | 20%                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | √                                                                              | √ | √ | √ |  |  |                                   |             |                                                                                |  |  |  |  |  |   |   |   |   |  |  |                              |            |  |  |  |  |  |  |                        |    |   |   |   |   |  |  |                       |     |   |   |   |   |  |  |                 |     |   |   |   |   |  |  |                  |     |   |   |   |   |  |  |                          |            |   |   |   |   |  |  |              |              |  |  |  |  |  |  |
| <b>Final Examination</b>                                               | <b>50%</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | √                                                                              | √ | √ | √ |  |  |                                   |             |                                                                                |  |  |  |  |  |   |   |   |   |  |  |                              |            |  |  |  |  |  |  |                        |    |   |   |   |   |  |  |                       |     |   |   |   |   |  |  |                 |     |   |   |   |   |  |  |                  |     |   |   |   |   |  |  |                          |            |   |   |   |   |  |  |              |              |  |  |  |  |  |  |
| <b>Total</b>                                                           | <b>100 %</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                |   |   |   |  |  |                                   |             |                                                                                |  |  |  |  |  |   |   |   |   |  |  |                              |            |  |  |  |  |  |  |                        |    |   |   |   |   |  |  |                       |     |   |   |   |   |  |  |                 |     |   |   |   |   |  |  |                  |     |   |   |   |   |  |  |                          |            |   |   |   |   |  |  |              |              |  |  |  |  |  |  |

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| <b>Student Study Effort Expected</b> | Class contact:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |          |
|                                      | ▪ Lectures / Seminars                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | 39 Hrs.  |
|                                      | ▪                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |          |
|                                      | Other student study effort:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |          |
|                                      | ▪ Reading and self-study                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | 60 Hrs.  |
|                                      | ▪ Working on Group Project                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 15 Hrs.  |
|                                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |          |
|                                      | Total student study effort                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 114 Hrs. |
| <b>Readings and References</b>       | <p><u>Required Textbook:</u><br/> Charles I. Jones, <i>Macroeconomics</i> (6<sup>th</sup> edition), W.W. Norton.</p> <p><u>Other References:</u><br/> Olivier Blanchard, <i>Macroeconomics</i> (8<sup>th</sup> edition), Pearson.<br/> Abel, Andrew B., Ben Bernanke, and Dean Croushore. <i>Macroeconomics</i> (10<sup>th</sup> edition). Pearson.<br/> Gregory Mankiw, <i>Macroeconomics</i>, (12<sup>th</sup> edition), Macmillan.</p> <p>Charles I. Jones and Dietrich Vollrath, <i>Introduction to Economic Growth</i> (4<sup>th</sup> edition), W.W. Norton.</p> |          |